I followed my trading plan and got out promptly. The stock continued lower to 9.35 or 37% below my sale price. Thanks goodness I sold.

- Lesson: Never fall in love with a stock and never get overconfident that a trade will work. If you hear yourself saying things like “Everything I touch turns to gold,” “I can't lose,” or “This is an easy game,” then you're about to take a major loss.

Northwest Pipe Co.

In Northwest Pipe Co. (NWPX), I bought the upward breakout from a confirmed head-and-shoulders bottom in December 2005. From my notebook: “Buy reason: head-and-shoulders bottom with throwback complete. Buy again plans: None. I don't trust this chart pattern, and the stock is thinly traded.”

This trade started out the opposite way compared to the Ameritrade trade: skepticism.

About a month later, the stock formed a symmetrical triangle. “Sell reason: This has gapped downward outside of a small symmetrical triangle and the CCI [commodity channel index] says sell. MACD [moving average convergence/divergence] shows declining momentum. This really didn't work as expected, so it's time to leave. If I'm lucky, I'll make a few bucks, but it'll be close to 0.”

I made 1%, but that's not why I'm describing the trade. The stock rubbed my nose in it and decided to climb. The ultimate high wasn't far off, 30.88, which the stock reached 2 months later. That's a gain of 15% above my sale price.

What irks me about the trade is this was a 5% failure. Meaning the stock broke out downward. I sold, and the *very next day* the stock started climbing. It meandered up and down before reaching the ultimate high, but I hate being kicked out of the stock days to weeks before it resumes climbing.

- Lesson: Before selling, determine how far price might fall. It's always best to follow your trading plan, but be flexible. In this case, I'd probably trade it the same way.